

INVESTMENT COMMITTEE MEMO

Dell Technologies Inc. (DELL) | Take-Private Screening | May 04, 2026

FEASIBILITY
SCORE

38/100

Grade F

Pass — Fundamental Issues

Executive Summary

We recommend passing on the potential take-private transaction of Dell Technologies Inc. due to significant fundamental issues, including a high estimated take-private price of \$274.88-\$296.03 per share and a feasibility score of 38/100. The company's financial performance has been declining, with a 13.6% year-over-year revenue decrease, and its high debt level of \$19,363 million poses a significant risk. Furthermore, the LBO returns analysis indicates a base case IRR of -13.2%, which is unattractive.

Recommendation: **PASS**

The significant fundamental issues, including the high estimated take-private price and declining financial performance, outweigh the potential benefits of the investment. Additionally, the LBO returns analysis indicates an unattractive base case IRR, which further supports the decision to pass on the transaction.

■ **Size Note:** Equity check of ~\$81.9B exceeds practical PE LBO ceiling (~\$50B). Even mega-funds do not write checks of this size.

Headline Metrics

	FY2026
Revenue	\$88.4B
EBITDA	\$8.7B
EBITDA Margin	9.9%
Net Income	\$3.4B
Free Cash Flow	\$5.9B
Total Debt	\$19.4B
Cash & Equivalents	\$3.6B
Revenue Growth (YoY)	-13.6%
Market Cap	\$137.5B
Enterprise Value	\$156.4B
P/E Ratio	24.4x
EV / EBITDA	13.7x

Investment Thesis

- Dell Technologies Inc. has a strong portfolio of products and services, including AI-optimized servers, traditional servers and networking, and storage solutions, which could drive long-term growth and value

creation.

- The company's end-to-end solutions portfolio, go-to-market capabilities, and supply chain are competitive advantages that could be leveraged to improve profitability.
- However, the company's high debt level and declining financial performance pose significant risks to the investment thesis.

Value Creation Levers

- Improving operational efficiency and reducing costs to increase profitability.
- Investing in research and development to drive innovation and stay competitive.
- Enhancing the company's go-to-market capabilities to improve sales and revenue growth.

Key Risks to Thesis

- Disruption in the supply chain, which could adversely affect the availability or timely delivery of critical products or components.
- Rapid technological changes, which could render the company's products or services obsolete.
- Global economic uncertainty, which could impact the company's sales and revenue.

LBO Returns Summary (Base / Bull / Bear)

Scenario	IRR	MOIC	Exit Equity Value
Base	-13.2%	0.49x	\$40.3B
Bull	11.2%	1.70x	\$134.2B
Bear	2.8%	1.15x	\$97.7B

Base case: 4% revenue CAGR, modest margin expansion, 12.0x exit multiple. Sponsor equity at entry: \$81.9B. 55% leverage at close.

Commercial Diligence

Segments: Infrastructure Solutions Group (ISG) - provides solutions for AI, machine learning, data analytics, and multicloud environments, Client Solutions Group (CSG) - offers branded personal computers, peripherals, and services

Products: AI-optimized servers, Traditional servers and networking, Storage solutions, Branded personal computers (notebooks, desktops, workstations), Branded peripherals (displays, docking stations, keyboards, mice, webcam and audio devices)

Competitors: HP, Lenovo, IBM, Cisco, HPE

Customer concentration: None

Geographic mix: Approximately 60-65% of revenue generated from sales to customers in the Americas, with the remaining portion derived from sales to customers in EMEA and APJ

Competitive Advantages

- End-to-end solutions portfolio
- Go-to-market capabilities
- Supply chain

- Global services
- Brand recognition

Growth Strategy

Dell Technologies plans to grow by executing its strategy of leveraging operational advantages to extend leadership positions and capture new growth, investing in research and development, and providing customers with choice in how they acquire solutions. The company also aims to drive sustainable long-term growth through its focus on innovation, customer relationships, and strategic investments.

Top Risks

Disruption in Supply Chain **[High]** (Operational)

Our use of single-source or limited-source suppliers may adversely affect the availability or timely delivery of some critical products or components.

Rapid Technological Changes **[High]** (Operational)

We operate in an industry in which there are rapid technological advances in hardware, software, and services offerings, including AI, cloud, and security-related offerings.

Dependence on Key Products **[Medium]** (Concentration)

Our revenue is dependent on sales of our AI-optimized servers, traditional servers and networking, and storage offerings, and any decline in demand for these products could negatively impact our business.

Global Economic Uncertainty **[High]** (Macro)

Our sales can be affected by seasonal trends and the changing macroeconomic environment, and historical seasonal patterns may not continue in the future.

Strategic Investments and Acquisitions **[Medium]** (Financial)

We may make strategic investments or acquisitions that do not generate the expected returns or that result in a loss of our investment, which could negatively impact our financial condition.

Governance Assessment

Board Size	8
Independent Directors %	—
CEO/Chair Combined	True
Staggered Board	True
Poison Pill	—
Dual-Class Shares	True
Insider Ownership %	—
Largest Holder	—
Defense Strength	Medium
Take-Private Feasibility	Moderate

The company has a staggered board and dual class shares, which may make a take-private transaction more difficult. However, the presence of a combined CEO and Chairman role could facilitate a take-private deal.

Overall, the feasibility of a take-private transaction is moderate.

Red-Flag Scan (Recent 8-Ks)

CFO Appointment [Low] Executive Departure — 2025-11-25

David Kennedy was appointed as the Company's Chief Financial Officer on a permanent basis, effective November 24, 2025.

Senior Vice President Appointment [Low] Other — 2025-10-17

Richard Troy Sharp was appointed as the Company's Senior Vice President, Corporate Finance and Chief Accounting Officer, effective as of August 8, 2025.

Management Tone Analysis

Overall tone: Confident **YoY shift:** Similar

Management's tone is confident, highlighting the company's unique position and operational advantages. However, there are some concerns around demand outpacing supply and potential losses from strategic investments. Overall, the tone suggests a positive outlook for the company's future growth and prospects.

Feasibility Score Breakdown

Dimension	Score	Weight	Driver
Financial	25/100	25%	EBITDA margin 9.9%, FCF conversion 6.7%, growth -13.6%
Lbo Returns	20/100	25%	Base case IRR: -13.2%
Governance	45/100	15%	Feasibility: Moderate, Defense: Medium
Risk	20/100	15%	8 high-severity risks identified
Red Flags	90/100	15%	0 critical, 0 high-concern flags
Sentiment	80/100	5%	Tone: Confident, shift: Similar

Recommended Next Steps

- Continue to monitor the company's financial performance and industry trends.
- Re-evaluate the investment thesis if the company's financial performance improves or the estimated take-private price decreases.
- Explore alternative investment opportunities in the technology sector.

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